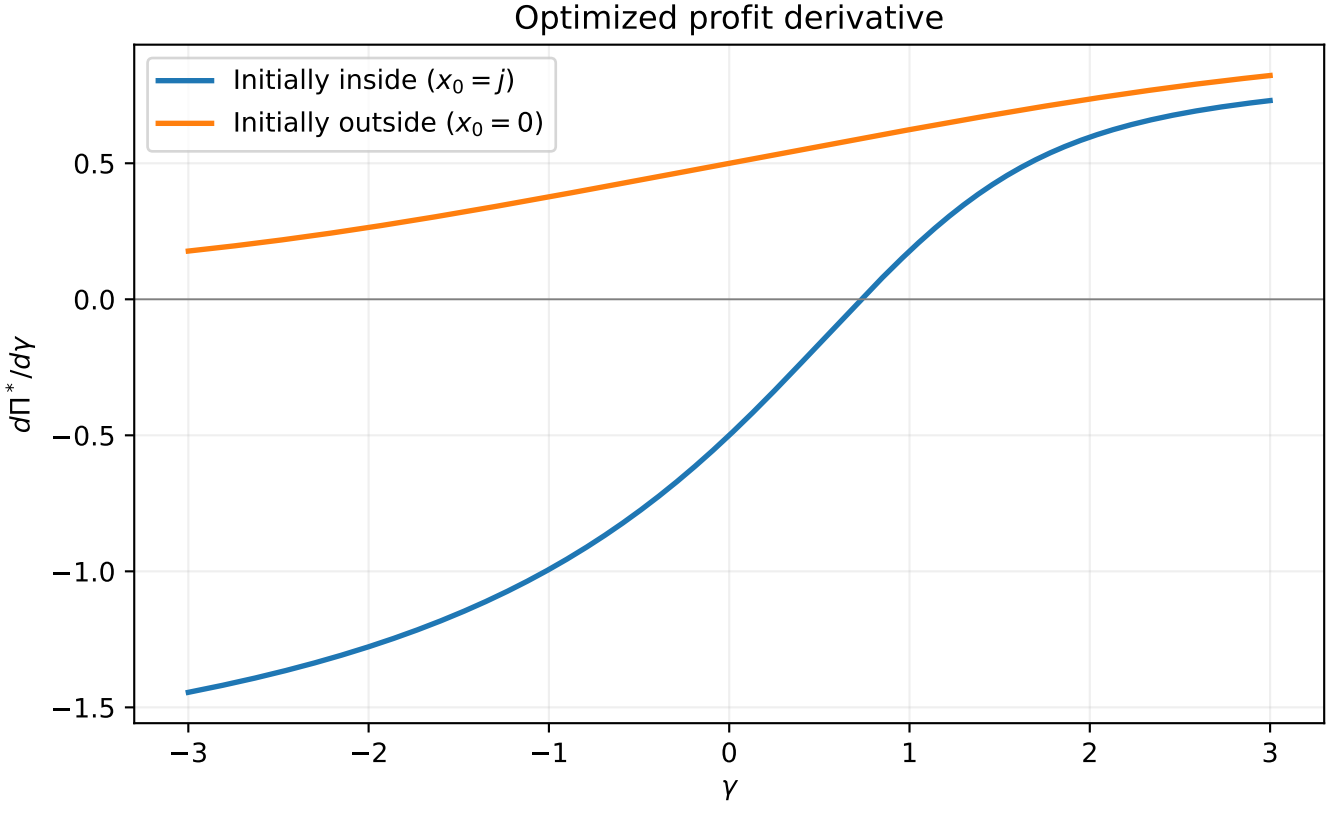
Optimized profit derivative
Initially inside ($x_0 = j$)
Initially outside ($x_0 = 0$)
0.5
0.0
−0.5
−1.0
−1.5
$d\Pi^*/d\gamma$
−3
−2
−1
0
1
2
3
γ